

newspapers report the wholesale prices for institutions placing trades in excess of \$1 million.

Rising interest rates will lower prices for existing bonds so the subsequent return to the new purchaser can match the higher returns available on new bonds with higher interest rates. Conversely, lower interest rates will increase the price existing bonds can sell for. If sold at their face value, these older bonds offer higher returns than newly issued bonds, and their owners will want to hold them. An agreeable selling price can only be found if the bond sells at a premium, and then the new purchaser receives a subsequent return on their purchase price that is in line with newly issued bonds. The price of a bond on the secondary market will fluctuate in the opposite direction of interest rates.

In the universe of bonds, there is not one single interest rate. Differences in interest rates among bonds reflect several factors:

- the time to maturity for the bond (longer-term bonds will experience more price volatility as interest rates change),
- the credit risk of the bond (bonds that are more likely to default on their promised payments are riskier and will have to reward investors with higher yields),
- liquidity (bonds that are more actively traded may offer lower yields), and
- the tax status of the bond (municipal bonds from state and local government agencies are free from federal income taxes and thus offer lower interest rates).

Bonds may also feature other options that affect the price an investor is willing to pay. For instance, if the bond is “callable” (meaning the issuer retains the right to repay it early if interest rates decline), the potential capital gains are reduced, which in turn lowers the price investors are willing to pay.

US government Treasuries are generally seen as having the lowest credit risk, and they will generally offer lower yields than corporate bonds with the same maturity date. They are less likely to default and create problems